

SJVN Limited

CIN: L40101HP1988GOI008409

**Regd. Office: SJVN, Corporate Office Complex,
Shanan, Shimla – 171006, Himachal Pradesh**



Policy Statement on Nomination, Remuneration, Succession and Diversity of Board

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Introduction

SJVN Limited, a Mini Ratna: Category-I and Schedule – ‘A’ CPSE under administrative control of Ministry of Power, Govt. of India, was incorporated on May 24, 1988 as a joint venture of the Government of India (GOI) and the Government of Himachal Pradesh (GOHP) (equity participation in the ratio of 75:25).

SJVN being a Central Public Sector Undertaking, the appointment, tenure, remuneration and other terms and conditions of Directors are decided by the President of India.

However, the Companies Act, 2013 and SEBI (Listing Obligation and Disclosure Requirements) Regulations, 2015 provides for a various Corporate Governance norms for all companies and in absence of any special exemptions to Government Companies, we are required to comply with the applicable Corporate Governance norms.

This policy was adopted by the Board of Directors of the Company at its 245th meeting held on 18th April, 2016. The Code is further amended and amended Code shall be effective from 12th September, 2022.

1.0 Statutory Requirements

Both Companies Act, 2013 as well as the SEBI (LODR) Regulations, 2015 prescribe requirement for constitution of Nomination and Remuneration Committee and formulation of a Nomination & Remuneration Policy. The relevant statutory provisions are elaborated hereunder: -

A. Companies Act, 2013: -

Section 178 of Companies Act, 2013 prescribes the following requirements: -

(1) The Board of Directors of every listed company and such other class or classes of companies, as may be prescribed shall constitute the Nomination and Remuneration Committee consisting of three or more non-executive directors out of which not less than one-half shall be independent directors:

Provided that the chairperson of the company (whether executive or non-executive) may be appointed as a member of the Nomination and Remuneration Committee but shall not chair such Committee.

(2) The Nomination and Remuneration Committee shall identify persons who are qualified to become directors and who may be appointed in senior management in accordance with the criteria laid down, recommend to the Board their appointment and removal and shall specify the manner for effective evaluation of performance of Board, its committees and individual Directors to be carried out either by the Board, by the Nomination and Remuneration Committee or by an independent external agency and review its implementation and compliance.

(3) The Nomination and Remuneration Committee shall formulate the criteria for determining qualifications, positive attributes and independence of a director and recommend to the Board a policy, relating to the remuneration for the directors, key managerial personnel and other employees.

(4) The Nomination and Remuneration Committee shall, while formulating the policy under sub-section (3) ensure that—

- (a) the level and composition of remuneration is reasonable and sufficient to attract, retain and motivate directors of the quality required to run the company successfully;
- (b) relationship of remuneration to performance is clear and meets appropriate performance benchmarks; and
- (c) remuneration to directors, key managerial personnel and senior management involves a balance between fixed and incentive pay reflecting short and long-term performance objectives appropriate to the working of the company and its goals:

Provided that such policy shall be placed on the website of the company, if any, and the salient features of the policy and changes therein, if any, along with the web address of the policy, if any, shall be disclosed in the Board's report.

(8) In case of any contravention of the provisions of section 177 and this section, the company shall be liable to a penalty of five lakh rupees and every officer of the company who is in default shall be liable to a penalty of one lakh rupees.

Explanation: -The expression "senior management" means personnel of the company who are members of its core management team excluding Board of Directors comprising all members of management one level below the executive directors, including the functional heads.

Subsequently, vide a notification dated 5th June 2015, the Central Government has partially exempted the Government Companies from sub-sections (2), (3) and (4) of Section 178 of Companies Act, 2013 as under: -

"Shall not apply to Government Company except with regard to appointment of "senior management" and "other employees."

B. SEBI (LODR) Regulations, 2015: -

The provisions of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 with regards to Nomination, Remuneration, Succession & Diversity of Board are as under: -

Regulation 4 (2) (f) (ii) - Key functions of the board of directors-

- (3) Selecting, compensating, monitoring and, when necessary, replacing key managerial personnel and overseeing succession planning.
- (4) Aligning key managerial personnel and remuneration of board of directors with the longer-term interests of the listed entity and its shareholders.
- (5) Ensuring a transparent nomination process to the board of directors with the diversity of thought, experience, knowledge, perspective and gender in the board of directors.

Regulation 17(4) - The Board of directors of the listed entity shall satisfy itself that plans are in Place for orderly succession for appointment to the board of directors and senior Management.

Regulation 19 - Nomination and Remuneration Committee.

- (1) The board of directors shall constitute the nomination and remuneration committee as follows:
 - (a) the committee shall comprise of at least three directors;
 - (b) all directors of the committee shall be non-executive directors; and
 - (c) at least two-thirds of the directors shall be independent directors.

- (2) The Chairperson of the nomination and remuneration committee shall be an independent director:

Provided that the chairperson of the listed entity, whether executive or non-executive, may be appointed as a member of the Nomination and Remuneration Committee and shall not chair such Committee.

- (2A) The quorum for a meeting of the nomination and remuneration committee shall be either two members or one third of the members of the committee, whichever is greater, including at least one independent director in attendance.

- (3) The Chairperson of the nomination and remuneration committee may be present at the annual general meeting, to answer the shareholders' queries; however, it shall be up to the chairperson to decide who shall answer the queries.

- (3A) The nomination and remuneration committee shall meet at least once in a year.

- (4) The role of the nomination and remuneration committee shall be as specified as in Part D of the Schedule II.

C. Schedule II, PART D: -

A. Role of Nomination and Remuneration Committee:

Role of committee shall, inter-alia, include the following: -

- (1) formulation of the criteria for determining qualifications, positive attributes and independence of a director and recommend to the board of directors a policy relating to, the remuneration of the directors, key managerial personnel and other employees;
- (1A) For every appointment of an independent director, the Nomination and Remuneration Committee shall evaluate the balance of skills, knowledge and experience on the Board and on the basis of such evaluation, prepare a description of the role and capabilities required of an independent director. The person recommended to the Board for appointment as an independent director shall have the capabilities identified in such description. For the purpose of identifying suitable candidates, the Committee may:
- a. use the services of an external agencies, if required;
 - b. consider candidates from a wide range of backgrounds, having due regard to diversity; and
 - c. consider the time commitments of the candidates.
- (2) formulation of criteria for evaluation of performance of independent directors and the board of directors;
- (3) devising a policy on diversity of board of directors;
- (4) identifying persons who are qualified to become directors and who may be appointed in senior management in accordance with the criteria laid down, and recommend to the board of directors their appointment and removal.
- (5) whether to extend or continue the term of appointment of the independent director, on the basis of the report of performance evaluation of independent directors;
- (6) recommend to the board, all remuneration, in whatever form, payable to senior management.

2.0 SJVN's Policy Statement on Nomination, Remuneration, Succession and Diversity of Board.

SJVN being a Government Company (Central Public Sector Undertaking), in terms of Articles 31 to 35A of Articles of Association of the Company, the Powers of Nomination, appointment, remuneration and deciding terms and conditions of appointment of Directors vests with President of India, acting through Ministry of Power and other Government Directives.

Thus, the policy for Nomination and Remuneration of Directors, KMPs and Senior Managers is determined by President of India, through various directives, stipulations, guidelines, notifications, circulars issued from time to time by the Department of Public Enterprises (DPE), Public Enterprises Selection Board (PESB) or any other Department of the Government of India. Similarly, the composition and succession of Board Members is also decided by Government of India.

The Board or the Company has not been vested with any powers in these matters. Hence, this Nomination and Remuneration Policy contains merely a description of policies & procedures enforced in the company by Government of India and is divided into following chapters/ parts: -

Part – I: Nomination & Remuneration Policy.

Part – II: Board Diversity Policy.

Part – III: Board Succession Policy.

3.0 **Part – I: Nomination & Remuneration Policy**

A. Nomination Policy

Article 32 of Company's Articles of Association stipulates that: -

- a) The Chairman, the Vice-Chairman and all other members of the Board of Directors (except part-time Directors) shall be appointed by the President.
Till the time Directors are appointed, the Subscribers shall be deemed to be Directors of the Company.
- b) The part-time Directors shall be appointed by the President from time to time, as provided for in Article 31 supra.
- c) The President may from time to time, appoint the Chairman or any of the Directors to the office of the Managing Director(s) of the Company for such term and remuneration (whether by way of salary or other- wise) as he may think fit. Any such Chairman/ Director appointed to any such office shall, if he ceases to hold the office of Chairman/Director from any cause, Ipsofacto, immediately cease to be Managing Director(s).

Accordingly, except for one Govt. of H.P. Nominee Director, all Whole-Time and Part-Time Official/ Non-Official Directors are nominated by President of India acting through MoP.

The Policy & procedure for nomination and appointment of various types of Directors on the Board is summarized as under: -

A. Board of Directors

- a. **CMD & Functional Directors** – The Chairman and Managing Director and other Functional Directors are selected by Public Enterprises Selection Board and appointed by Government of India through the order of the administrative Ministry i.e. Ministry of Power.

PESB has framed elaborate guidelines/ procedures for selection / appointment to top management posts in CPSUs. A summary of Govt's Selection Policy for Board Level Appointments in PSUs is placed at *Annexure – A*.

- b. **Part-time Official Directors (Nominee Directors)** – One Part-Time Official Director each is nominated by Government of India and Government of Himachal Pradesh and appointed by Government of India through the order of the administrative Ministry i.e. Ministry of Power.
- c. **Part-time Non-Official Directors (Independent Directors)** – The proposals for appointment of non-official Directors on the Boards of CPSEs are initiated by the concerned Administrative Ministries i.e. Ministry of Power. The selection of non-official Directors is made by the Search Committee of Department of Public Enterprises (DPE). The concerned Administrative Ministry/Department appoints the non-official Directors on the basis of recommendations of Search Committee after obtaining the approval of competent authority. The detailed eligibility criteria and process of appointment notified by DPE is placed at *Annexure – B & C*.

For the purpose of compliance with Section 149 read with Clause IV (2) of Schedule IV Companies Act, 2013 the appointment as Independent Directors is also approved by the

Shareholders in the immediately next Annual General Meeting and with effect from 01-01-2022, the approval of shareholders for appointment of a person on the Board of Directors or as a manager is taken at the next general meeting or within a time period of three months from the date of appointment, whichever is earlier.

B. Key Managerial Personnel – The Company has designated the following as Key Managerial Personnel: -

- i. Managing Director** – CMD or in his absence any Whole Time Director who has been given the additional charge of CMD of the Company.
- ii. Chief Financial Officer** – Director (Finance) or in his absence Head of Finance.
- iii. Company Secretary** – Company Secretary of the Company.

The CMD or Director (Finance) are appointed in accordance with procedure prescribed in sub-clause A. a) above. Company Secretary is recruited/ elevated as such in accordance with Company's HR policy and appointed through a Board Resolution. Head of Finance is recruited/ elevated in accordance with Company's HR policy and designated as Head of Finance through an administrative order. The individuals so appointed are designated as Key Managerial Personnel through a Board Resolution.

C. Senior Management – Senior Management means personnel of the company who are members of its core management team excluding Board of Directors comprising all members of management one level below the Board i.e., Executive Directors (ED) and Chief General Managers (CGM). Nomination & appointment of Senior Management personnel is done as per the following procedure: -

- a.** EDs & CGM are recruited/ elevated in accordance with Company's HR policy.
- b.** The appointment/ elevation to ED & GM level posts is recommended by company's Nomination & Remuneration Committee.
- c.** Appointments are made by the Board on recommendations of Nomination & Remuneration Committee, through a suitable Resolution.

B. Remuneration Policy

As per Article 32 of Company's Articles of Association, the President may from time to time, appoint the Chairman or any of the Directors to the office of the Managing Director(s) of the Company for such term and remuneration (whether by way of salary or otherwise) as he may think fit.

Further, Article 33 stipulates that the Directors shall be paid such salary and/or allowance as the President may, from time to time, determine. Subject to the provisions of Section 314 of the Act, such reasonable additional remuneration, as may be fixed by the President, may be paid to any one or more of the Directors for extra or special services rendered by him or them or otherwise;

Thus, the President of India regulates the remuneration of the Directors, Managerial Personnel and other Employees of the Company through directives stipulations, guidelines, notifications, and circulars issued from time to time by the Department of Public enterprises or other Ministries & Departments of the Government of India.

As per Article 35A of the Articles of Association of the Company, the Company is bound to adhere to any such directives stipulations, guidelines, notifications, circulars issued by DPE or any other Department of Government.

A. Board of Directors

- a. CMD & Functional Directors** – The structure of pay & remuneration policy in respect of CMD & Whole time Directors in CPSU's is notified & regulated by Department of Public Enterprises (DPE), Ministry of Heavy Industries, Government of India. DPE issues Guidelines/ Notifications from time to time which need to be mandatorily complied by the company in terms of Article 35A of Articles of Association. Detailed HR/ Remuneration policies of the company are framed in accordance with DPE Guidelines and approved by the Board of Directors of the Company.

Copies of DPE OMs dated 3rd August, 2017, 4th August, 2017 and 7th September, 2017 regulating the current structure of pay & perks of Board level and below Board level executives and Non-Unionised Supervisors is placed at **Annexure – E**.

Full copy of Company's HR Manual is available on company's website www.sjvn.nic.in.

- b. Part-time Official Directors (Nominee Directors)** – No remuneration is payable to Nominee Directors of Government of India or Government of Himachal Pradesh. However, travelling facilities and Hotel / accommodation facilities are provided at par with entitlements of Whole Time Directors of the Company for tours in connection with company's official business.
- c. Part-time Non-Official Directors (Independent Directors)** – Department of Public Enterprises (DPE) has vide its Circular No. DPE O.M. No. 2(31)/87-DPE(WC) dated 20th August, 1997 specified that the quantum of the sitting fee may be decided by the profit making Public Enterprises within the ceiling prescribed by the Ministry of Corporate Affairs.

As per Rule 4 of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014 notified by MCA a company may pay a sitting fee to a Director for attending Meetings of the Board or Committees thereof, such sum as may be decided by the Board of Directors thereof which shall not exceed 1 Lakh Rupees per

Meeting of the Board or Committee thereof or such amount as may be prescribed by the central Govt. from time to time. However, an Independent Director shall not be entitled to any stock options of the Company.

The Board of Directors of the Company had vide its 223rd Meeting held on 12th September 2013, approved a sitting fee @ Rs.20,000/- per Meeting for Independent Directors which is within the above limits. The sitting fee was further increased by Board of Directors in its 296th Meeting held on 10th February 2022 to Rs. 30,000/- and Rs. 40,000/- per Committee Meeting and Board Meeting respectively.

In addition to sitting fee, travelling facilities and Hotel / accommodation facilities are also provided to Independent Directors at par with entitlements of Whole Time Directors of the Company for tours in connection with company's official business.

A copy of Company's Sitting Fees rules/ procedures as amended upto date is placed at **Annexure – D.**

- d. **Key Managerial Personnel & Senior Management** – The structure of pay & remuneration policy in respect of all Directors/ Officers of the Company is notified & regulated by Department of Public Enterprises (DPE), Ministry of Heavy Industries, Government of India. DPE issues Guidelines/ Notifications from time to time which need to be mandatorily complied by the company in terms of Article 35A of Articles of Association. The detailed HR/ Remuneration policies of the company are framed in accordance with DPE Guidelines and approved by the Board of Directors of the Company.

Copies of DPE OM's dated 3rd August, 2017, 4th August, 2017 and 7th September, 2017 regulating the current structure of pay & perks of Board level and below Board level executives and Non-Unionised Supervisors is placed at **Annexure – E.**

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4.0 **Part – II: Board Diversity Policy**

Articles 31 of Articles of Association of the Company stipulates that the President shall, from time to time, determine the number of Directors of the Company which shall not be less than six (6) and not more than fifteen (15). Some of the Directors may be whole-time functional Directors and others may be part-time Directors depending upon the requirement from time to time. One of the part-time Directors shall be nominated by the Governor.

Provided the number of Independent Directors in any case shall not be less than 50% of the actual strength of the Board.

Hence the power to decide size and composition of Board vests with the President of India. The present structure of the Board of the Company is as under: -

DIRECTORS	Nos.
EXECUTIVE DIRECTORS	
Functional/ Whole Time Directors	
Chairman & Managing Director	1 (One)
Director (Civil))	1 (One)
Director (Finance)	1 (One)
Director (Personnel)	1 (One)
Director (Electrical)	1 (One)
NON-EXECUTIVE DIRECTORS	
Part -Time Official Directors (Nominee Directors)	
Nominee Director – Govt. of India	1 (One)
Nominee Director – Govt. of H.P.	1 (One)
Part Time Non- Official Directors (Independent Directors)	
Independent Directors	7 (Seven)
TOTAL	14 (Fourteen)

The existing structure/ composition of the Board has an optimum combination of executive and non-executive directors with at least one-woman director, at least one independent woman director and not less than fifty percent of the Board of Directors comprising non-executive directors and is thus compliant with provisions of SEBI (LODR) Regulations, 2015 as well as DPE Guidelines on Corporate Governance.

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5.0 Part – III: Board Succession Policy

In terms of Articles of Association of the Company, all Powers regarding Nomination and Appointment of Directors vests with President of India, acting through Ministry of Power. The Board or the Company has not been vested with any powers in these matters.

However, Article 31 of Articles of Association of Company provides that one of the part-time Directors shall be nominated by the Governor. Similarly, Article 33(e) provides that the President shall consult the Governor for removal of part-time Director appointed from the nominations received from the Governor.

Accordingly, except for one Govt. of H.P. Nominee Director, succession Policy in respect of all Whole-Time and Part-Time Official/ Non-Official Directors is determined by President of India acting through Ministry of Power, Government of India.

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Public Enterprises Selection Board and Govt's Selection Policy for Board Level Appointments in PSUs**

Government has set-up a specialized agency called the Public Enterprises Selection Board [PESB] with the objective of evolving a sound managerial policy for the Central Public Sector Enterprises and, in particular, to advise Government on appointments to their top management posts.

PESB is a high-powered body constituted by Government of India Resolution dated 3rd March 1987 which was subsequently amended from time-to-time, the latest being on 11th November 2008. The P.E.S.B shall not be a mere Interview Board and it shall, also, constitute itself into a Search Committee to look out for and identify suitable persons who can be appointed to Level-I and Level-II posts in PSEs.

The policy of Government is to appoint through a fair and objective selection procedure outstanding professional managers to Level-I and Level-II posts and posts at any other level, as may be decided by the Government from time to time. Government have also recognized the need to develop a cadre of professional managers within the public sector. Hence unless markedly better candidates are available from outside, internal candidates, employed in the PSE, will be preferred for appointment to Board level posts. However, if internal candidates are not available, preference will be given to candidates working in other PSEs, either in the same area of business or in other areas. Mobility of managerial personnel among PSEs within the same sector or group, failing which mobility within the public sector as a whole will be encouraged, subject to certain limitations. However, in special cases, recruitment may be made from the organised services under the Central Government. Such cases would be where, because of special circumstances, it is necessary to place a member of an organised service in a PSE or where, because of the nature of the enterprise or its poor health, it would be difficult to attract good professional managers on a tenure basis. Under special circumstances, the appointment to a particular post or posts in a PSE may be made other than through P.E.S.B with the prior and specific approval of the Govt.

For sick and potentially sick PSEs, the Administrative Ministry/Department concerned, in consultation with P.E.S.B could take a decision at any stage in the process of recruitment to the post of Chairman, Managing Director or Chairman-cum-Managing Director of the PSE, to take a person on deputation from any of the All India or Group "A" Central Services without insisting on the rule of immediate absorption.

****Source: PESB Website**

Criteria laid down by the Government for consideration as non-official Director[#]

A. (a) Criteria of Experience

- i. Retired Government officials with a minimum of 10 years' experience at Joint Secretary level or above.
- ii. Persons who have retired as CMD/CEOs of CPSEs and Functional Directors of the Schedule A CPSEs. The ex-Chief Executives and ex-Functional Directors of the CPSEs will not be considered for appointment as non-official Director on the Board of the CPSE from which they retire. Serving Chief Executives/Directors of CPSEs will not be eligible to be considered for appointment as non-official Directors on the Boards of any CPSEs.
- iii. Academicians/Directors of Institutes/Heads of Department and Professors having more than 10 years teaching or research experience in the relevant domain e.g. management, finance, marketing, technology, human resources, or law.
- iv. Professionals of repute having more than 15 years of relevant domain experience in fields relevant to the company's area of operation.
- v. Former CEOs of private companies if the company is (a) listed on the Stock Exchanges or (b) unlisted but profit making and having an annual turnover of at least Rs.250 crore.
- vi. Persons of eminence with proven track record from Industry, Business or Agriculture or Management.
- vii. Serving CEOs and Directors of private companies listed on the Stock Exchanges may also be considered for appointment as part-time non-official Directors on the Boards of CPSEs in exceptional circumstances.

B. Criteria of Educational Qualification

Minimum graduate degree from a recognized university.

C. Criteria of Age

The age band should be between 45-65 years (minimum/maximum limit). This could, however, be relaxed for eminent professionals, for reasons to be recorded, being limited to 70 years.

D. Reappointment

The non-official Directors, will not be re-appointed in the same CPSE after completing a maximum of two tenures, each tenure being for a period of three years.

E. Appointment in number of CPSEs at the same time

One person will not be appointed as non-official Director on the Boards of more than three CPSEs at the same time.

F. Directorship in private companies

A person being considered for appointment as non-official Director on the Board of CPSEs should not hold directorship in more than 10 private companies.

Note : The persons desirous of including their names in the Category (iv) i.e. **Professionals of repute having more than 15 years of relevant domain experience in fields relevant to the company's area of operation** should furnish additional details (2-3 pages) of their expertise/achievements in the relevant fields. For example ñ Chartered /Cost Accountants, Company Secretaries, Consultants should provide list of companies (Public/Private) to which they have rendered services, affiliations with Professional and Government Institutions/Committees/Task Forces etc. and important assignments completed, etc. as these details would facilitate determining their eligibility.

Process of appointment of non-official Directors on the Boards of CPSEs[#]

The proposals for appointment of non-official Directors on the Boards of CPSEs are initiated by the concerned Administrative Ministries/Departments. The selection of non-official Directors is made by the Search Committee. The present composition of the Search Committee is as under.

1. Secretary (DoPT) - Chairman
2. Secretary, DPE
3. Secretary of the concerned Administrative Ministry/Department
4. 2 non-official Members,

The concerned Administrative Ministry/Department appoints the non-official Directors on the basis of recommendations of Search Committee after obtaining the approval of competent authority. The recommendation of the Department related Standing Committee of Industry to the effect that if persons from the categories of Scheduled Castes, Schedules Tribes, OBC and women categories come forward with the laid down criteria, they should be given preference, has also been communicated to all Ministries as the proposals for appointment of non-official Directors on the Boards of CPSEs are initiated by them.

Procedure of Sitting Fee of Non-official part time Directors
(As amended upto 10-02-2022)

1. A Sitting Fee of **Rs. 30,000/- and Rs. 40,000/- per Committee Meeting and Board Meeting respectively** shall payable to Part- Time Non-Official Directors (Independent Directors) attending the Meeting.
2. Sitting Fee is payable per Meeting basis. If there are two or more meetings in a day, (e.g., Board Meeting, Audit Committee Meeting) the meetings are considered as independent.
3. In case of sub-Committee of Directors for negotiations with Contractors, the sitting fee shall be paid per day basis i.e., in a day if there are two meetings namely with contractor X in the Forenoon and with contractor Y in the Afternoon, these meetings are considered as one only.
4. Where a meeting is held and adjourned, and when adjourned meeting is reconvened, the reconvened meeting is to be treated as separate and sitting fees is to be paid.
5. Where interviews of the candidates are done, honorarium as applicable shall only be paid.
6. Where a meeting is convened on a particular date and had to be continued on the next day also, it is treated as a separate and sitting fees per day basis will apply.
7. In case of official visits to offices/project, no sitting fee shall be paid.
8. Where an independent Director (Non-official part time Director) participate in Quarterly Review Meetings/Project Review Meetings, payment of sitting fees is applicable as per the extant rules.
9. Where a meeting is convened but not held, no sitting fee is paid.
10. CMD is authorised to consider payment of sitting fees in respect of other meetings where participation by an Independent Director is in the interest of the Company.
11. The travel expenses/daily allowance as applicable to the functional Directors shall be paid as per the TA/DA rules of the Corporation.
12. A Daily allowance of Rs. 2000/- per day shall be payable to Directors attending Board/ Committee Meetings held at a place other than their place of stay/ headquarters and making their own private accommodation for their stay.
13. In cases where the Director uses his own transport / arrangements, Conveyance charges @ Rs.2000/- per day shall be payable.
14. Company Secretary is authorized to approve the claims of part time Directors on account of sitting fees, travelling expenses etc.

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No. W-02/0028/2017-DPE (WC)-GL-XIII/17
Government of India
Ministry of Heavy Industries and Public Enterprises
Department of Public Enterprises

Public Enterprises Bhawan
Block No. 14, C. G. O. Complex,
Lodhi Road, New Delhi-110003
Dated: 3rd August, 2017

OFFICE MEMORANDUM

Subject:-Pay Revision of Board level and below Board level Executives and Non-Unionised Supervisors of Central Public Sector Enterprises (CPSEs) w.e.f. 01.01.2017.

The last revision of the scale of pay of Board level and below Board level Executives and Non-Unionized Supervisors of Central Public Sector Enterprises (CPSEs) was made effective from 01.01.2007 for a period of 10 years. As the next Pay Revision became due from 01.01.2017, the Government had set up the 3rd Pay Revision Committee (PRC) under the chairmanship of Justice Satish Chandra (Retd.) to recommend revision of pay and allowances for above categories of employees following IDA pattern of pay scales with effect from 01.01.2017. The Government, after due consideration of the recommendations of the 3rd PRC have decided as follows:

2. **Revised Pay Scales:** - The revised Pay scales for Board and below Board level executives would be as indicated in **Annexure-I**. There will be no change in the number and structure of pay scales and every executive has to be fitted into the corresponding new pay scale. In case of CPSEs which are yet to be categorized, the revised pay scales as applicable to the Schedule 'D' CPSEs would be applicable.

3. **Affordability:** The revised pay scales would be implemented subject to the condition that the additional financial impact in the year of implementing the revised pay-package for Board level executives, Below Board level executives and Non-Unionized Supervisors should not be more than 20% of the average Profit Before Tax (PBT) of the last three financial years preceding the year of implementation.

Fitment Benefit:

(i) In case additional financial impact in the year of implementing the revised pay-package of a CPSE is within 20% of average PBT of last 3 years, a uniform full fitment benefit of 15% would be provided.

(ii) If the additional financial impact in the year of implementing the revised pay-package is more than 20% of the average PBT of last 3 Financial Years (FYs), then the revised pay-package with recommended fitment benefit of 15% of BP+DA should not be implemented in full but only partly, as per the part-stages recommended below:-

Part stages	Additional financial impact of the full revised pay package as a % of average PBT of last 3 FYs	Fitment benefit (% of BP+DA)
I	More than 20% but upto 30% of average PBT of last 3 FYs	10%
II	More than 30% but upto 40% of average PBT of last 3 FYs	5%

No fitment or any other benefit of pay revision will be implemented in the CPSEs where the additional financial impact of the revised pay package is more than 40% of the average PBT of last 3 financial years.

(iii) At the time of implementation of pay revision, if the additional financial impact after allowing full / part fitment exceeds 20% of the average PBT of last 3 years, then PRP payout / allowances should be reduced so as to restrict impact of pay revision within 20%.

(iv) Subsequent to implementation of pay revision, the profitability of a CPSE would be reviewed after every 3 years and

- if there is improvement in the average PBT of the last 3 years, then full pay package/ higher stage of pay package would be implemented while ensuring that total additional impact (sum total of previously implemented part pay package and proposed additional package) stays within 20% of the average of PBT of last 3 years
- if the profitability of a CPSE falls in such a way that the earlier pay revision now entails impact of more than 20% of average PBT of last 3

year, then PRP/ allowances will have to be reduced to bring down impact

3. Methodology for pay fixation: To arrive at the revised Basic Pay as on 1.1.2017 fitment methodology shall be as under:

A		B		C		D [Revised BP as on 1.1.2017] *
Basic Pay + Stagnation increment(s) as on 31.12.2016 (Personal Pay / Special Pay not to be included)	+	Industrial Dearness Allowance (IDA) @119.5% as applicable on 1.1.2017 [under the IDA pattern computation methodology linked to All India Consumer Price Index (AICPI) 2001=100 series]	+	15% /10%/5% of (A+B)	=	Aggregate amount rounded off to the next Rs.10/-.

* *In case revised BP as on 1.1.2017 arrived so is less than the minimum of the revised pay scale, pay will be fixed at the minimum of the revised pay scale.*

4. **Pay revision in respect of Non-unionized Supervisors of CPSEs:** The revision of scales of pay for Non-unionized Supervisory staff would be decided by the respective Board of Directors.

5. The applicability of affordability clause in respect of certain types of CPSEs is given at **Annexure II**

6. **Increment:-** A uniform rate of 3% of BP will be applicable for both annual increment as well as promotion increment. The details regarding Stagnation Increment and Bunching of pay are given at **Annexure-III (A)**

7. **Dearness Allowance:** 100% DA neutralization would be continued for all the executives and non-unionised supervisors, who are on IDA pattern of scales of pay w.e.f. 01.01.2017. Thus, DA as on 01.01.2017 will become zero with link point of All India Consumer Price Index (AICPI) 2001=100, which is 277.33 (Average of AICPI for the months of September, October & November, 2016) as on 01.01.2017. The periodicity of adjustment will be once in three months as per the existing practice.

The quarterly DA payable from 01.01.2017 will be as per new DA given at Annexure-III(B).

8. **House Rent Allowance (HRA)/ Lease Accommodation and House Rent Recovery (HRR):** Separate guidelines would be issued later on these allowances. Till then, the existing allowance at the existing rate may be continued to be paid at pre-revised pay scales.

9 **Perks & Allowances:** The Board of Directors of CPSEs are empowered to decide on the perks and allowance admissible to the different categories of the executives, under the concept of 'Cafeteria Approach', subject to a ceiling of 35% of BP. Under the concept of 'Cafeteria Approach' the executives are allowed to choose from a set of perks and allowances. The recurring cost incurred on running and maintaining of infrastructure facilities like hospitals, colleges, schools etc. would be outside the ceiling of 35% of BP. As regards company owned accommodation provided to executives, CPSEs would be allowed to bear the Income Tax liability on the 'non-monetary perquisite' of which 50% shall be loaded within the ceiling of 35% of BP on perks and allowances.

10. **Certain other perks & Allowances:** Separate guidelines would be issued on location based Compensatory Allowance, Work based Hardship Duty Allowances and Non-Practicing Allowance. Till then the existing allowances at the existing rate would continue to be paid at the pre-revised pay scales.

11. **Performance Related Pay (PRP):-** The admissibility, quantum and procedure for determination of PRP has been given in Annexure- IV. The PRP model will be effective from FY 2017-18 and onwards. For the FY 2017-18, the incremental profit will be based on previous FY 2016-17. The PRP model will be applicable only to those CPSEs which sign Memorandum of Understanding (MOU), and have a Remuneration Committee (headed by an Independent Director) in place to decide on the payment of PRP within the prescribed limits and guidelines.

12. **Superannuation Benefits:** The existing provisions regarding superannuation benefits have been retained as per which CPSEs can contribute upto 30% of BP plus

DA towards Provident Fund (PF), Gratuity, Post-Superannuation Medical Benefits (PRMB) and Pension of their employees.

12.1 The ceiling of gratuity of the executives and non-unionised supervisors of the CPSEs would be raised from Rs 10 lakhs to Rs 20 lakhs with effect from 01.01.2017 and the funding for the entire amount of Gratuity would be met from within the ceiling of 30% of BP plus DA. Besides, the ceiling of gratuity shall increase by 25% whenever IDA rises by 50%.

12.2 The existing requirement of superannuation and of minimum of 15 years of service in the CPSE has been dispensed with for the pension.

12.3 The existing Post-Retirement Medical Benefits will continue to be linked to requirement of superannuation and minimum of 15 years of continuous service for other than Board level Executives. The Post-Retirement medical benefits shall be allowed to Board level executives (without any linkage to provision of 15 years of service) upon completion of their tenure or upon attaining the age of retirement, whichever is earlier

13 **Corpus for medical benefits for retirees of CPSEs:** The corpus for post – retirement medical benefits and other emergency needs for the employees of CPSEs who have retired prior to 01.01.2007 would be created by contributing the existing ceiling of 1.5% of PBT. The formulation of suitable scheme in this regard by CPSEs has to be ensured by the administrative Ministries/Departments.

14. **Club Membership:** The CPSEs will be allowed to provide Board level executives with the Corporate Club membership (upto maximum of two clubs), co-terminus with their tenure.

15. **Leave regulations/management:** CPSEs would be allowed to frame their own leave management policies and the same can be decided based on CPSEs operational and administrative requirements subject to the principles that:

- a. Maximum accumulation of Earned Leave available are not permitted beyond 300 days for an employee of CPSE. The same shall not be permitted for encashment beyond 300 days at the time of retirement.
- b. CPSEs should adopt 30 day's month for the purpose of calculating leave encashment.

c. Casual and Restricted Leave will continue to be lapsed at the end of the calendar year.

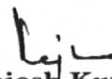
16. **Periodicity:** The next pay revision would take place in line with the periodicity as decided for Central Government employees but not later than 10 years.

17. **Financial Implications:** Expenditure on account of pay revision is to be entirely borne by the CPSEs out of their earnings and no budgetary support will be provided by the Government.

18. **Issue of Presidential directive, effective Date of implementation and payment of allowances.** The revised pay scales will be effective from 01.01.2017(except the allowances mentioned in the paras 8 and 10 above). The Board of Directors of each CPSE would be required to consider the proposal of pay revision based on their affordability to pay, and submit the same to the administrative Ministry for approval. The administrative Ministry concerned will issue the Presidential Directive with the concurrence of its Financial Adviser in respect of each CPSE separately. Similarly presidential directives would be issued by the administrative Ministry concerned based on the result of review which is to be done after every 3 years subsequent to implementation. A copy of the Presidential Directives, issued by the administrative Ministry/Department concerned may be endorsed to the Department of Public Enterprises.

19. **Issue of instructions/clarification and provision of Anomalies Committee:** The Department of Public Enterprises (DPE) will issue necessary instructions/clarifications wherever required, for implementation of the above decisions. An Anomalies Committee consisting of Secretaries of Department of Public Enterprises (DPE), Department of Expenditure and Department of Personnel & Training is being constituted for a period of two years to look into further specific issues/problems that may arise in implementation of the Government's Decision on 3rd pay revision. Any anomaly should be forwarded with the approval of Board of Directors to the administrative Ministry/Department who will examine the same and dispose of the same. However, if it is not possible for the administrative

Ministry/Department to sort out the issue, they may refer the matter to DPE, with their views for consideration of the Anomalies Committee.


(Rajesh Kumar Chaudhry)

Joint Secretary to the Government of India

Administrative Ministry / Department (Secretary by Name) of the Government of India

Copy to Chief Executives of CPSEs.

Copy also to:

- i) Financial Advisors in the Administrative Ministry/Department
- ii) Comptroller & Auditor General of India, 9 Deen Dayal Upadhyay Marg, New Delhi.
- iii) Department of Expenditure, EV Branch, North Block, New Delhi
- iv) Department of Personnel & Training (CPC Pay 1), North Block, New Delhi.
- v) Chairman, PESB/Secretary, PESB, CGO Complex New Delhi

Copy also to

- i) Prime Minister's Office (Shri Tarun Bajaj, Addl. Secretary)
- ii) Cabinet Secretariat (Shri S.A.M. Rizvi, Joint Secretary)

Copy for information to

- i) PS to Minister (HI&PE)
- ii) PS to MoS (HI&PE)
- iii) PS to Secretary, PE
- iv) AS & FA (PE)
- v) All Officers of DPE
- vi) NIC Cell, DPE with the request to upload the OM on the DPE website.


(Samsul Haque)

Under Secretary to the Government of India

Annexure-I**(Para 2)**

Grade	Existing(Rs)	Revised(Rs)
E0	12600-32500	30000-120000
E1	16400-40500	40000-140000
E2	20600-46500	50000-160000
E3	24900-50500	60000-180000
E4	29100-54500	70000-200000
E5	32900-58000	80000-220000
E6	36600-62000	90000-240000
E7	43200-66000	100000-260000
E8	51300-73000	120000-280000
E9	62000-80000	150000-300000
Grade	Existing(Rs)	Revised(Rs)
Director(Sch-D)	43200-66000	100000-260000
CMD(D)	51300-73000	120000-280000
Director(Sch-C)	51300-73000	120000-280000
CMD(C)	65000-75000	160000-290000
Director(Sch-B)	65000-75000	160000-290000
CMD(B)	75000-90000	180000-320000
Director(Sch-A)	75000-100000	180000-340000
CMD(A)	80000-125000	200000-370000

***E7 only in CPSEs of Schedule A, B & C**

***E8 only in CPSEs of Schedule A & B**

***E9 only in CPSEs of Schedule A**

Annexure II (Para 5)

Affordability to certain types of CPSEs:

- a) In respect of Sick CPSEs referred to erstwhile Board for Industrial and Financial Reconstruction (BIFR) / Appellate Authority for Industrial and Financial Reconstruction (AAIFR), the revision of pay scales should be in accordance with rehabilitation packages approved by the Government after providing for the additional expenditure on account of pay revision in these packages.
- b) The affordability condition shall also be applicable to the CPSEs registered under Section 25 of the Companies Act, 1956, or under Section 8 of the Companies Act, 2013 (which by the very nature of their business are not-for profit companies) for implementation of the revised compensation structure (including Performance Related Pay) as being recommended for other CPSEs.
- c) There are also certain CPSEs which have been formed as independent Government companies under a statute to perform a specific agenda / regulatory functions. The revenue stream of such CPSEs are not linked to profits from the open market in a competitive scenario but are governed through the fees & charges, as prescribed and amended from time to time by the Government. There is no budgetary support provided by the Government to such CPSEs. In consideration that the impact of the revised compensation structure (including Performance Related Pay) would supposedly form the part of revenue stream for such CPSEs, the affordability condition shall not be applicable to these CPSEs; however the implementation of same shall be subject to the approval of Administrative Ministry upon agreeing and ensuring to incorporate the impact of the revised compensation structure into the revenue stream.
- d) As regards the CPSEs under construction which are yet to start their commercial operations, the implementation of pay-revision would be decided by the Government based on the proposal of concerned Administrative Ministry and after consideration of their financial viability.
- e) In case of Coal India Limited (CIL), the holding company and its subsidiaries would be considered as a single unit for the affordability clause as per past precedent.

Annexure-III (A)

(Para 6)

Stagnation Increment: In case of reaching the end point of pay scale, an executive would be allowed to draw stagnation increment, one after every two years upto a maximum of three such increments provided the executives gets a performance rating of 'Good' or above.

Bunching of Pay: - In CPSEs where a lower fitment benefit (i.e. 10% or 5%) is granted due to affordability, there is a possibility of bunching at different grades due to revised Basic Pay falling short of reaching starting point of revised pay-scale. The revised BP due to bunching of pay in these cases would be the higher of the followings -

- Adding the difference between the 'pre-revised Basic Pay' and 'the minimum of the pre-revised pay scale' to the starting point of revised pay scale.
- The revised BP as arrived after applying the fitment benefit (ie 10% or 5% of BP plus DA).

[Example for Basic Pay revision in cases of bunching in a Grade/level]

Sl. No.	Parameters		Pre-revised pay-scale of E-6 level (in Rs.)			
			Minimum / Starting of pay-scale	Minimum + 1 increment @3%	Minimum + 2 increments @3%	Minimum + 3 increments @3%
			(A)	(B)	(C)	(D)
1.	E-6 level:Pre-revised BP	(31.12.16)	36600	37700	38840	40010
2.	DA (1.1.2017)	Say: 120%	43920	45240	46608	48012
3.	Total	(1) + (2)	80520	82940	85448	88022
4.	Fitment benefit	% of BP+DA	5%	5%	5%	5%
5.	Fitment benefit amount	(4) x (3)	4026.0	4147.0	4272.4	4401.1
6.	Net amount to arrive at revised BP	(3) + (5)	84546.0	87087.0	89720.4	92423.1
7.	Rounded off	Next Rs.10/-	84550	87090	89730	92430
8.	Minimum of E-6's revised pay-scale	Starting point	90000	90000	90000	90000

9.	Difference between the 'pre-revised Basic Pay' and the 'minimum of the pre-revised pay scale'	Linked to figure at Column (A) mentioned at Sl. No.1.	(A) - (A) i.e.36600 - 36600	(B) - (A) i.e.37700 - 36600	(C) - (A) i.e.38840 - 36600	(D) - (A) i.e.40010 - 36600
10.	Difference amount	=	0	1100	2240	3410
11.	Net of difference added to starting point of revised pay-scale	(8) + (10)	90000	91100	92240	93410
12.	Revised Pay-scale	Higher of (7) or (11)	90000	91100	92240	93410

Annexure-III (B)

(Para 7)

Rates of Dearness Allowances for the employees of CPSEs following IDA pattern

Effective Date	Rate of Dearness Allowance(in percentage)
01.01.2017	0
01.04.2017	-1.1
01.07.2017	-0.2

Performance Related Pay**(I) Allocable profits:**

a. The overall profits for distribution of PRP shall be limited to 5% of the year's profit accruing only from core business activities (without consideration of interest on idle cash / bank balances), which will be exclusively for executives and for non-unionized supervisors of the CPSE. The ratio of break-up of profit accruing from core business activities for payment of PRP between relevant year's profit to Incremental profit shall be 65:35 to arrive at the Allocable profits and the Kitty factor.

(I) PRP differentiator components:

(A) PRP payout is to be distributed based on the addition of following parts / components:-

Part-1 : CPSE's performance component:-

(a) Weightage = 50% of PRP payout

(b) Based on CPSE's MOU rating:

MOU rating	%age eligibility of PRP
Excellent	100%
Very Good	75%
Good	50%
Fair	25%
Poor	Nil

Part-2 : Team's performance component:- *

(a) Weightage = 30% of PRP payout

(b) Based on Team rating (i.e. linked to Plant / Unit's productivity measures and operational / physical performance):

Team rating	%age eligibility of PRP
Excellent	100%
Very Good	80%
Good / Average	60%
Fair	40%
Poor	Nil

* In case of a CPSE not having Plants/Units and if there is a no Team Performance areas/rating, then the PRP for such CPSE will be determined based specifically on MoU rating after merging the weightage of Team performance component to the Company's performance component.

(c) The Team rating shall be linked to individual Plant / Unit's productivity measures and operational / physical performance, as primarily derived from CPSEs' MOU parameters and as identified by CPSE depending on the nature of industry / business under the following suggested performance areas:-

- 'Achievement Areas', in which performance has to be maximized (e.g. market shares, sales volume growth, product output / generation, innovations in design or operation, awards and other competitive recognition, etc.); and
- 'Control Areas' in which control has to be maximized (e.g. stock / fuel loss, operating cost control, litigation cost, safety, etc.).

(d) For office locations of CPSEs, the Team rating should be linked to the Plant / Unit as attached to the said office; and if there is more than one Plant / Unit attached to an office or in case of Head Office / Corporate Office of the CPSE, the Team rating shall be the weighted average of all such Plants / Units. The weighted average shall be based on the employee manpower strength of the respective Plants / Units.

[Plants/Units shall primarily mean the work place where industry's manufacturing process is carried out and in case of a CPSE not having any manufacturing process, it shall mean the work place where the main business is carried out. The individual department/section within a work place shall not be recognized as a Plant/Unit].

Part-3 : Individual's performance component:-

- (a) **Weightage = 20% of PRP payout**
- (b) **Based on Individual performance rating (i.e. as per the CPSE's Performance Management System):**

Individual performance rating	%age eligibility of PRP
Excellent	100%
Very Good	80%
Good / Average	60%
Fair	40%
Poor	Nil

- (c) The forced rating of 10% as below par / Poor performer shall not be made mandatory. Consequently, there shall be discontinuation of Bell-curve. The CPSEs are empowered to decide on the ratings to be given to the executives; however, capping of giving Excellent rating to not more than 15% of the total executive's in the grade (at below Board level) should be adhered to.

(II) Percentage ceiling of PRP (%age of BP):

- (a) The grade-wise percentage ceiling for drawal of PRP within the allocable profits has been rationalized as under:-

Grade	Ceiling (% of BP)
E0	40%
E1	40%
E2	40%
E3	40%
E4	50%
E5	50%
E6	60%
E7	70%
E8	80%

E9	90%
Director (C&D)	100%
Director (A&B)	125%
CMD / MD (C&D)	125%
CMD / MD (A&B)	150%

Note:

1. For Non- Unionized supervisors, the PRP as percentage of BP will be decided by the respective Board of Directors of the CPSE.

- (III) **Kitty factor:** After considering the relevant year's profit, incremental profit and the full PRP payout requirement (computed for all executives based on Grade-wise ceilings, CPSE's MOU rating, Team rating & Individual performance rating), there will be two cut-off factors worked out based on the PRP distribution of 65:35. The first cut-off shall be in respect of PRP amount required out of year's profit, and the second cut-off shall be in respect of PRP amount required out of incremental profit, which shall be computable based on the break-up of allocable profit (i.e. year's 5% of profit bifurcated into the ratio of 65:35 towards year's profit and incremental profit).

The sum of first cut-off factor applied on 65% of Grade PRP ceiling *and* the second cut-off factor applied on 35% of Grade PRP ceiling will result in Kitty factor. The Kitty factor shall not exceed 100%.

- (IV) **Based on the PRP components specified above, the PRP pay-out to the executives should be computed upon addition of the following three elements:-**

- (a) **Factor-X (% of BP):**

Weightage of 50% *Multiplied with* Part-1 (CPSE's MOU rating)
Multiplied with Kitty factor

- (b) **Factor-Y (% of BP):**

Weightage of 30% *Multiplied with* Part-2 (Team's performance)
Multiplied with Kitty factor.

- (c) **Factor-Z (% of BP):**

Weightage of 20% *Multiplied with* Part-3 (Individual's performance)
Multiplied with Kitty factor.

- (d) **Net PRP=** Factor X + Factor Y + Factor Z =Net %age of Annual BP

EXAMPLES

Performance Related Pay (PRP): Examples for calculating Kitty factor/Allocable profit

- **PRP Kitty Distribution:** within 5% of profit accruing from core business activities (hereinafter, for brevity, referred to as Profit).
- **Ratio of relevant year's profit : incremental profit = 65 : 35**

Example – 1:

Sl.	Parameters	Amount (Rs.)/ %age
1	FY 2016-17	Profit = 5000 crore
2	FY 2017-18 [for which PRP is to be distributed]	Profit = 6000 crore
3	Incremental profit	1000 crore
4	5% of the year's profit	300 crore
5	<i>Allocable profit out of current year's 5% of profit based on distribution in the ratio of 65:35 towards the year's profit and incremental profit:</i>	
a.	PRP payout from year's profit	195 crore [i.e. 65% out of 300 crore]
b.	PRP payout from incremental profit	105 crore [i.e. 35% out of 300 crore]: [105 crore can be fully utilized as incremental profit is 1000 crore.]
6	Full PRP Payout requirement (computed for all executives based on Grade-wise ceilings, CPSE's MOU rating, Team rating & Individual performance rating) – but without applying kitty factor related to year's profit or Incremental profit	500 crore
7	<i>PRP payout break-up based on 65:35 distribution out of year's profit and incremental profit:</i>	
a	PRP amount required out of year's profit (i.e. 65% of Sl. No. 6)	65% of 500 crore = 325 crore
a1	Cut-off factor(1) (in %age) for year's PRP payout with reference to Sl. No. 5(a) & 7(a)	195 crore / 325 crore = 60.00%
b	PRP amount required out of incremental profit (i.e. 35% of Sl. No. 6)	35% of 500 crore = 175 crore
b1	Cut-off factor(2) (in %age) for incremental	105 crore / 175 crore = 60.00%

	PRP payout with reference to Sl. No. 5(b) & 7(b)	
8	Thus, total Profit amount allocated for PRP distribution	195 crore + 105 crore = 300 crore [i.e. 5% of Core business / operating profit]
9	Kitty factor for respective Grade (in %age)	[65% x Grade PRP ceiling (%) x Cut-off factor(1)] Plus (+) [35% x Grade PRP ceiling x Cut-off factor(2)] = Kitty factor

PRP Payout to Individual Executives
Example – 1 : For Grade E-1

Sl	Parameter	Amount (Rs.)/ %age payout
A	CPSE's MOU rating [Weightage = 50%]	75% (Very Good)
B	Team's rating [Weightage = 30%]	100% (Excellent)
C	Individual's performance rating [Weightage = 20%]	60% (Good/Average)
D	Grade ceiling (E1) (Max. of 40% of BP)	40% of BP
E	Cut-off factor (1)	60.0%
F	Cut-off factor (2)	60.0%
G	Kitty Factor for Grade E1 i.e. [65% x D (Grade PRP ceiling) x E (Cut-off factor(1))] Plus (+) [35% x D (Grade PRP ceiling) x F (Cut-off factor(2))]	$[65\% \times 40\% \times 60.00\%] + [35\% \times 40\% \times 60.00\%]$ $= 15.60\% + 8.40\%$ $= 24.00\%$
E	<u>Net PRP</u>	
i	Factor-X [Company's performance component]	Wtg.(50%) x A x G
	i.e.	$50\% \times 75\% \times 24.0\% = 9.00\%$
ii	Factor-Y [Team's performance component]	Wtg.(30%) x B x G
	i.e.	$30\% \times 100\% \times 24.00\% = 7.20\%$
iii	Factor-Z [Individual's performance component]	Wtg.(20%) x C x G
	i.e.	$20\% \times 60\% \times 24.00\% = 2.88\%$
H	PRP payout distribution	Factor X + Factor Y + Factor Z = 19.08% of Basic Pay

Performance Related Pay (PRP): Examples for calculating Kitty factor/Allocable profit

- **PRP Kitty Distribution** : within 5% of profit accruing from core business activities (hereinafter, for brevity, referred to as Profit).
- **Ratio of relevant year's profit : incremental profit = 65 : 35**

Example – 2:

Sl.	Parameters	Amount (Rs.)/ %age
1	FY 2016-17	PBT - 7000 crore
2	FY 2017-18 [for which PRP is to be distributed]	PBT - 6000 crore
3	Incremental profit	Nil
4	5% of the year's profit	300 crore
5	<i>Allocable profit out of current year's 5% of profit based on distribution in the ratio of 65:35 towards the year's profit and incremental profit:</i>	
a.	PRP payout from year's profit	195 crore [i.e. 65% out of 300 crore]
b.	PRP payout from incremental profit	105 crore [i.e. 35% out of 300 crore]: [Nil amount to be allocated as profit is Nil.]
6	Full PRP Payout requirement (computed for all executives based on Grade-wise ceilings, CPSE's MOU rating, Team rating & Individual performance rating) – but without applying kitty factor related to year's profit or Incremental profit	500 crore
7	<i>PRP payout break-up based on 65:35 distribution out of year's profit and incremental profit:</i>	
a	PRP amount required out of year's profit (i.e. 65% of Sl. No. 6)	65% of 500 crore = 325 crore
a1	Cut-off factor(1) (in %age) for year's PRP payout with reference to Sl. No. 5(a) & 7(a)	195 crore / 325 crore = 60.00%
b	PRP amount required out of incremental profit (i.e. 35% of Sl. No. 6)	35% of 500 crore = 175 crore
b1	Cut-off factor(2) (in %age) for incremental PRP payout with reference to Sl. No. 5(b) & 7(b)	Nil / 175 crore = 0.00%
8	Thus, total Profit amount allocated for PRP distribution	195 crore + 0 crore = 195 crore [i.e. 3.25% of Core business/operating profit]
9	Kitty factor for respective Grade (in %age)	[65% x Grade PRP ceiling (%) x Cut-off factor(1)] Plus (+) [35% x Grade PRP ceiling x Cut-off factor(2)] = Kitty factor

PRP Payout to Individual Executives
Example – 2 : For Grade E-1

Sl	Parameter	Amount (Rs.)/ %age payout
A	CPSE's MOU rating [Weightage = 50%]	75% (Very Good)
B	Team's rating [Weightage = 30%]	100% (Excellent)
C	Individual's performance rating [Weightage = 20%]	60% (Good/Average)
D	Grade ceiling (E1) (Max. of 40% of BP)	40% of BP
E	Cut-off factor (1)	60.0 %
F	Cut-off factor (2)	00.0%
G	Kitty Factor for Grade E1 i.e. [65% x D (Grade PRP ceiling) x E (Cut-off factor(1))] Plus (+) [35% x D (Grade PRP ceiling) x F (Cut-off factor(2))]	[65% x 40% x 60.00%] + [35% x 40% x 0.00%] = 15.60% + 0.00% = 15.60%
E	<u>Net PRP</u>	
i	Factor-X [Company's performance component]	Wtg.(50%) x A x G
	i.e.	50% x 75% x 15.60% = 5.85%
ii	Factor-Y [Team's performance component]	Wtg.(30%) x B x G
	i.e.	30% x 100% x 15.60% = 4.68%
iii	Factor-Z [Individual's performance component]	Wtg.(20%) x C x G
	i.e.	20% x 60% x 15.60% = 1.87%
H	PRP payout distribution	Factor X + Factor Y + Factor Z = 12.40% of Basic Pay

No. W-02/0028/2017-DPE (WC)-GL-XIV/17
Government of India
Ministry of Heavy Industries and Public Enterprises
Department of Public Enterprises

Public Enterprises Bhawan
Block No. 14, C. G. O. Complex,
Lodhi Road, New Delhi-110003
Dated: 4th August, 2017

OFFICE MEMORANDUM

Subject:-Pay Revision of Board level and below Board level Executives and Non-Unionised Supervisors of Central Public Sector Enterprises (CPSEs) w.e.f. 01.01.2017-decision on allowances other than the allowances under 'Cafeteria approach'

The undersigned is directed to refer to para 8 and 10 of this department's O.M. No.W-02/0028/2017-DPE (WC) dated 3rd August, 2017 regarding the issue of separate guidelines in respect of allowances mentioned therein. After due consideration, the Government has decided as follows:

(1) House Rent Allowance:

- (i) The house rent allowance to the employees of CPSEs will be at the following rates.

Classification of cities	Rate of HRA
X-Class (Population of 50 Lakh and above)	24% of Basic Pay
Y-Class (Population of 5 Lakh to 50 Lakh)	16% of Basic Pay
Z-Class (Population below 5 Lakh)	8% of Basic Pay

- (ii) The rates of HRA will be revised to 27% 18% & 9% for X, Y and Z class cities respectively when IDA crosses 25% and further revised to 30% 20% and 10% when IDA crosses 50%.

(2) Leased accommodation:

- (i) The Board of Directors may decide on the grade-wise lease rental ceilings in a standardized manner for the different level of executives. The amount of lease rental ceilings should be decided on its merit keeping in view / linkage to the HRA amount, classification of cities for HRA purpose, pay-scales of the executives, House Rent Recovery (HRR) rate, etc.

- (ii) If an executive is staying in his/her own house then normally he or she should be entitled to the HRA amount but if the said house is taken as lease accommodation for self-occupation purpose, the lease rental ceilings (after adjusting the HRR amount) should not exceed the net applicable HRA amount.

- (iii) The HRR in respect of leased accommodation should be at the following rate, or the actual rent, whichever is lower:-

Classification of cities	Rates of HRR
X-class	7.5% of BP
Y-class	5% of BP
Z-class	2.5% of BP

(iv) For accommodation arranged by CPSE in its own township, the HRR shall be 7.5% of BP (for X-class cities) / 5% of BP (for Y-class cities) / 2.5% of BP (for Z-class cities), or standard rent fixed by CPSE, whichever is lower.

(3) Other Allowances/Perks: The following allowances will be outside the purview of Ceiling of 35% of Basic Pay under 'Cafeteria Approach':

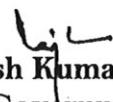
(a) Work based Hardship Duty Allowances : The payment of work based hardship duty allowance upto 12% of Basic Pay shall be admissible for the period the executives / non-unionized supervisors has actually performed one of the following hardship duty:-

- i) For performing duty in Underground mines, and
- ii) For performing duty at Offshore exploration site

(b) Separate guidelines regarding Location based Compensatory Allowance and Non-Practicing Allowance would be issued later.

2. The additional financial impact in the year of implementing the revised pay-package for Board level executives, Below Board level executives and Non-Unionized Supervisors, as mentioned in para 3 of the DPE O.M. No.W-02/0028/2017-DPE(WC) dated 3rd August, 2017, would be calculated taking into account the OM No. W-02/0028/2017-DPE(WC) dated 3rd August, 2017 and OMs issued on payment of allowances.

3. The allowances specified in this O.M. would be effective from the date of issue presidential directive.


(Rajesh Kumar Chaudhry)
Joint Secretary to the Government of India

Administrative Ministry/Department (Secretary by Name) of the Government of India

Copy to Chief Executives of CPSEs.

Copy also to:

- i) Financial Advisors in the Administrative Ministry/Department
- ii) Comptroller & Auditor General of India, 9 Deen Dayal Upadhyay Marg, New Delhi.
- iii) Department of Expenditure, E-V Branch, North Block, New Delhi
- iv) Department of Personnel & Training(CPC Pay 1), North Block, New Delhi.
- v) Chairman, PESB/Secretary, PESB, CGO Complex New Delhi

Copy also to

- i) Prime Minister's Office (Shri Tarun Bajaj, Addl. Secretary)
- ii) Cabinet Secretariat (Shri S.A.M. Rizvi, Joint Secretary)

Copy for information to

- i) PS to Minister (HI&PE)
- ii) PS to MoS (HI&PE)
- iii) PS to Secretary, PE
- iv) AS & FA (PE)
- v) All Officers of DPE
- vi) NIC Cell, DPE with the request to upload the OM on the DPE website.


(Samsul Haque)

Under Secretary to the Government of India

No. W-02/0028/2017-DPE (WC)-GL-XVI/17
Government of India
Ministry of Heavy Industries and Public Enterprises
Department of Public Enterprises

Public Enterprises Bhawan
Block No. 14, C. G. O. Complex,
Lodhi Road, New Delhi-110003
Dated: 7th September, 2017

OFFICE MEMORANDUM

Subject:-Pay Revision of Board level and below Board level Executives and Non-Unionised Supervisors of Central Public Sector Enterprises (CPSEs) w.e.f. 01.01.2017-decision on Location based compensatory allowances and Non-Practicing Allowance (NPA)

The undersigned is directed to refer to para 10 of this department's O.M. of even No. dated 3rd August, 2017 and sub-para 3(b) of para 1 of OM of even No. dated 4th August, 2017 regarding the issue of separate guidelines in respect of Location based Compensatory Allowance and Non-Practicing Allowance. After due consideration, the Government has decided on Location based Compensatory Allowance and Non-Practicing Allowance as follows:

Location based Compensatory Allowance:

(i) For serving in North-East States and Ladakh Region:

Assam, Meghalaya, Manipur, Nagaland, Tripura, Arunachal Pradesh, Mizoram and Sikkim	10% of Basic Pay
Ladakh Region	10% of Basic Pay

(ii) For serving in Island territories of Andaman and Nicobar (A&N) Islands and Lakshadweep:

Areas around Capital Towns (Port Blair in A&N Islands, Kavaratti and Agatti in Lakshadweep)	10% of Basic Pay
Difficult Areas (North and Middle Andaman, South Andaman excluding Port Blair, entire Lakshadweep except Kavaratti, Agatti and Minicoy)	16% of Basic Pay
More Difficult Areas (Little Andaman, Nicobar group of Islands, Narcondam Islands, East Islands and Minicoy)	20% of Basic Pay

- (iii) **Special allowance:** For serving in the difficult and far flung areas:

Areas Covered	Percentage of Basic Pay
Part 'A' (Areas covered under Annexure-I of D/o Expenditure O.M. No. 3/1/2017-EII(B) dated 19.7.2017)	8% of Basic Pay
Part 'B' (Areas covered under Annexure-II of D/o Expenditure O.M. No. 3/1/2017-EII(B) dated 19.7.2017)	6% of Basic Pay
Part 'C' (Areas covered under Annexure-III of D/o Expenditure O.M. No. 3/1/2017-EII(B) dated 19.7.2017)	4% of Basic Pay
Part 'D' (Areas covered under Annexure-IV of D/o Expenditure O.M. No. 3/1/2017-EII(B) dated 19.7.2017)	3% of Basic Pay

- (iv) In the event of a place falling in more than one category, i.e. (i)/(ii) and (iii) mentioned above, in that case only the higher rate of allowance will be admissible.

Non-practicing Allowance (NPA):

NPA upto 20% of Basic Pay would be paid to Medical Officers. NPA will not be considered as pay for the purpose of calculating other benefits.

2. The allowances specified in this O.M. will be outside the purview of Ceiling of 35% of Basic Pay under 'Cafeteria Approach' and would be effective from the date of issue of presidential directive.


(Rajesh Kumar Chaudhry)
Joint Secretary to the Government of India

Administrative Ministry/Department (Secretary by Name) of the Government of India

Copy to Chief Executives of CPSEs.

Copy also to:

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(Samsul Haque)

Under Secretary to the Government of India